

=FV(E6,E7,-E5,0,1)			
B	C	D	E
Ordinary Annuity		Annuity Due	
Future Value		Future Value	
Present Value	₹ 10,000.00	Present Value	₹ 12,000.00
Interest Rate	8%	Interest Rate	8%
Time	5	Time	4
Future Value(FV)	₹ 58,666.01	Future Value(FV)	₹ 58,399.21

=PV(C5,C4,0, C3)	
B	C
Zero-Coupon Risk-Free Bond	
Face Value	₹ 10,000.00
Years to Maturity	5
Risk-Free Rate	5%
Bond Price (P)	₹ 7,835.26

Debt Cost of Capital (Kd)		
Yield to Maturity (YTM)	10.0%	
Interest Rate	12.0%	
Bond Yield for Rating	8.5%	
Corporate Tax Rate	30.0%	
Cost of Debt using YTM	7.00%	=C4*(1-C7)#
Cost of Debt using Loan Rate	8.40%	=C5*(1-C7)#
Cost of Debt using Credit Rating Yield	5.95%	=C6*(1-C7)#

Recapitalization		
Current firm value (VU)	₹ 1,00,00,00,000.00	
New debt (D)	₹ 40,00,00,000.00	
Tax rate (T)	30.00%	
Shares outstanding	₹ 1,00,00,000.00	
Share price	₹ 100.00	
PV (Tax Shield)	₹ 12,00,00,000.00	=C5*C6#
New Firm Value	₹ 1,12,00,00,000.00	=C4+C9#
Number of Shares Repurchased	₹ 40,00,000.00	=C5/C8#
New Shares Outstanding	₹ 60,00,000.00	=C7-(C11)#
New Share Price	₹ 120.00	=(C10-C5)/C12#

Beta Estimation			
Month	Stock Return	Market Return	
1	0.03	0.02	
2	0.04	0.03	
3	-0.01	-0.02	
4	0.05	0.03	
5	0.02	0.01	
6	0.06	0.04	
Covariance	0.0004361		=COVARIANCE.P(C5:C10,D5:D10)#
Variance	0.00038056		=VAR.P(D5:D10)#
Beta	1.15		
Beta	1.15		=SLOPE(C5:C10,D5:D10)#